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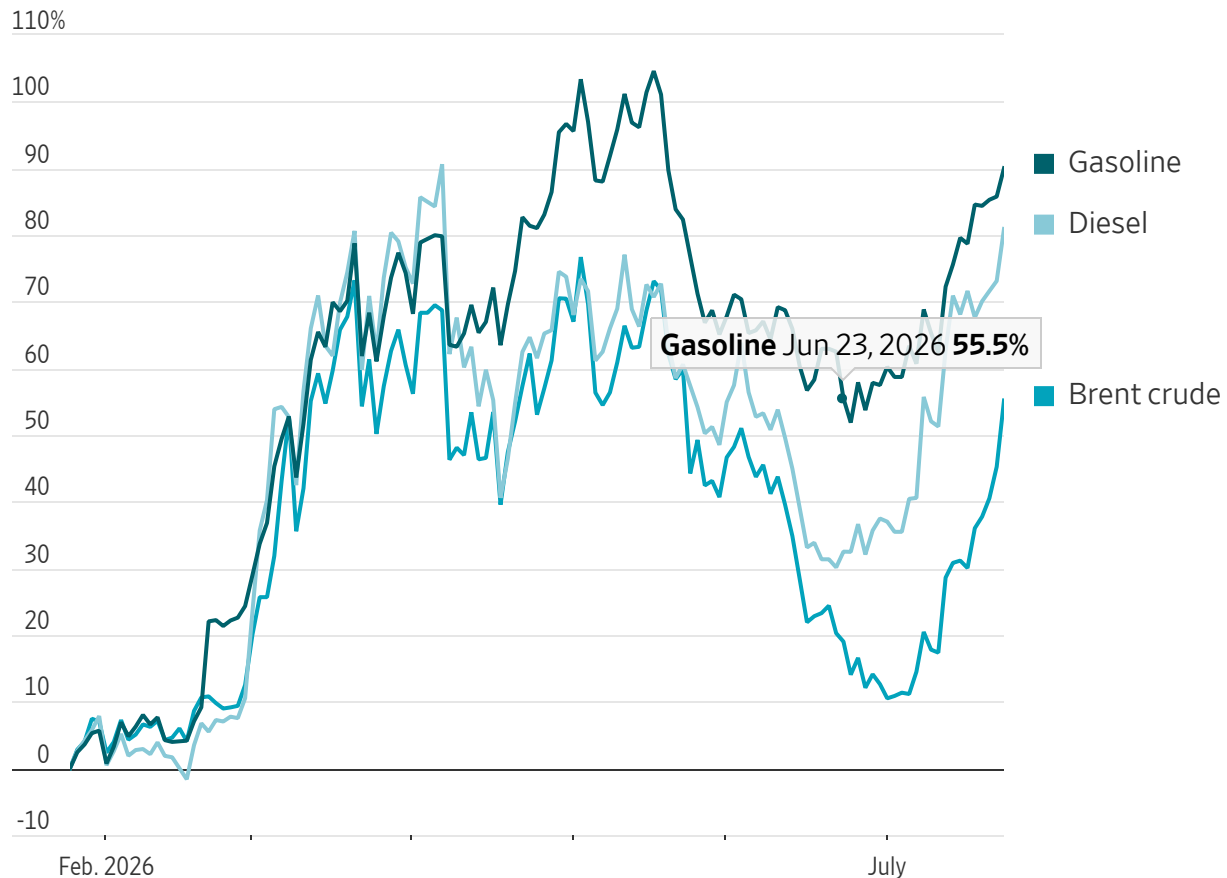
Oil Prices Roar Back, Threatening Economy and GOP's Midterm Hopes

As global benchmark tops \$100, stocks slump and Treasury yields hit highest levels of Trump's second term

By Benoit Morenne, Alison Sider and Sam Goldfarb

July 23, 2026 9:00 pm ET

Change in futures prices



Source: FactSet

Quick Summary

- Brent crude oil prices topped \$100 a barrel on Thursday, sparking a stock selloff and pushing up Treasury yields.

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Oil prices roared back Thursday to crack the \$100-a-barrel mark, an inflation-triggering threshold that threatens to bedevil the U.S. economy while putting pressure on the Republicans ahead of the midterm elections.

As President Trump warned that Iran could soon feel “major military punishment,” Brent crude, the global gauge, topped \$100 a barrel for the first time since May. The U.S. oil price shot up 6.2% to \$92.19 a barrel.

Higher energy prices quickly reverberated through markets, stoking a selloff in government bonds that sent the yield on the 10-year Treasury note—a barometer for borrowing costs—to the highest level of Trump’s second term. The Dow Jones Industrial Average and the S&P 500 both lost around 1%, while worries about runaway artificial-intelligence spending by big tech companies dragged the Nasdaq composite down more than 2%.

Mortgage rates rose to their highest level in nearly a year, with the average 30-year fixed rate hitting 6.58%. Some economists now predict that a U.S. mortgage rate of nearly 7% looms.

The pace of inflation cooled in June as energy prices declined during the temporary ceasefire and Americans showed a modestly improved mood about the economy earlier this month.

Now, prices at the pump have made a U-turn. The national average retail price of unleaded gasoline pushed back above \$4 a gallon this week, taking a bigger bite out of Americans’ wallets.



The average price of unleaded gasoline was back above \$4 a gallon. DUSTIN CHAMBERS/BLOOMBERG NEWS

Diesel prices have been rising even faster than those for gasoline or crude oil. Diesel, which fuels trucks, construction equipment and farming implements, tends to have an even greater impact on the economy and inflation when its price rises. The national average retail price was about \$5.21 on Thursday, up 39% from a year earlier, according to AAA.

For months, Trump has been frustrated by high oil prices, which his aides privately fear could hurt Republicans in the midterm elections, according to people familiar with the matter.

The president told advisers in June that they needed to pressure gasoline retailers and oil companies to reduce prices, according to people familiar with the matter, and administration officials have discussed various ways they could seek to lower prices, including additional pressure on the energy industry.

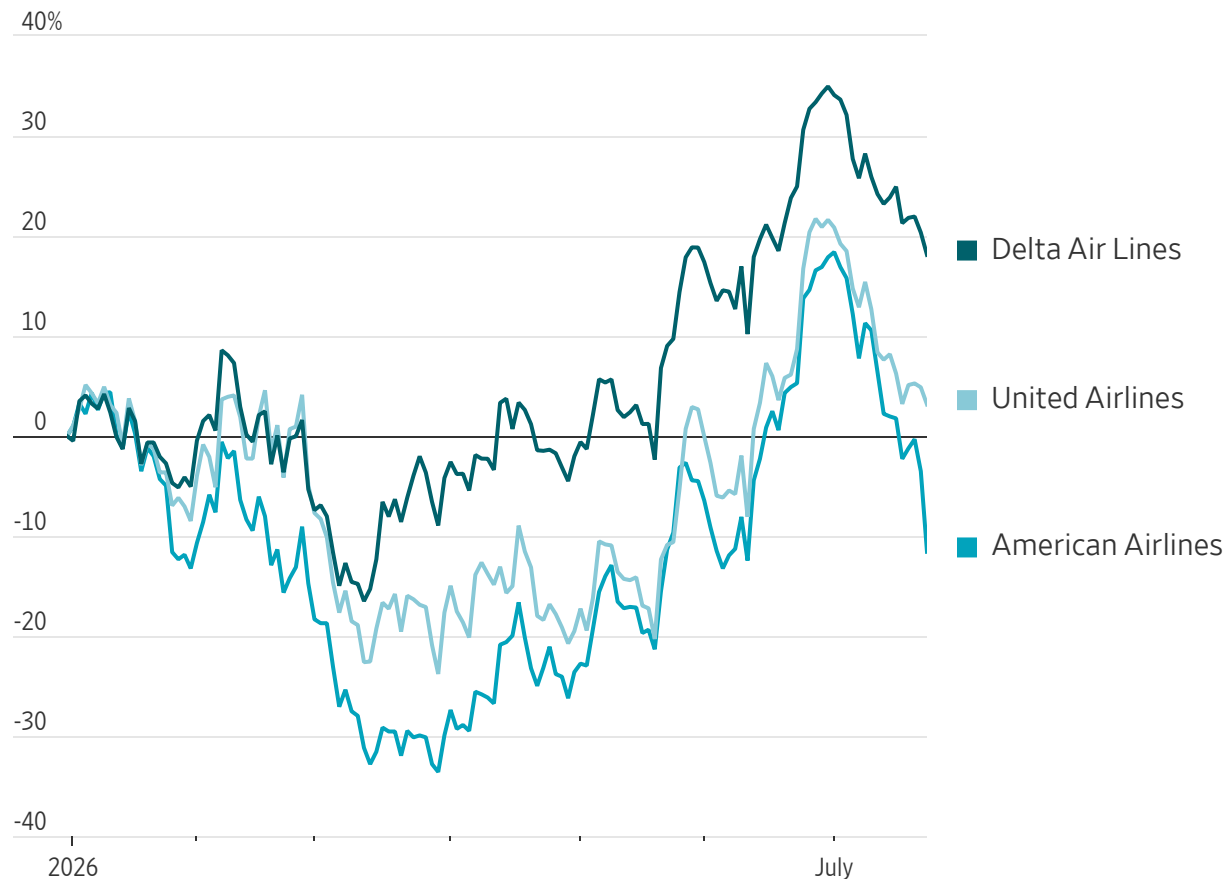
The chiefs of the U.S.'s biggest oil companies—including Chevron, ConocoPhillips and Occidental Petroleum—are in regular contact with the Trump administration about the upheaval in energy markets, according to people familiar with the matter.

Their attitude in calls with the administration, one of the people said, is essentially: “You can’t have it both ways. If there is a war in the Middle East and the Strait of Hormuz is effectively closed, prices are going to be high.”

White House spokeswoman Taylor Rogers said: “As the U.S. military degrades the terrorist Iranian regime’s ability to attack commercial vessels and disrupt the free flow of energy through the Strait of Hormuz, oil and gas prices will plummet back to preconflict levels.”

Meanwhile, shares in major air carriers fell Thursday. American Airlines and Southwest Airlines tempered their guidance for the year to reflect volatile fuel prices. In early July, American expected its full-year pretax income to approach \$1.5 billion. Its new forecast that it will break even at the midpoint of its updated guidance range sent shares down more than 8%.

Share-price performance



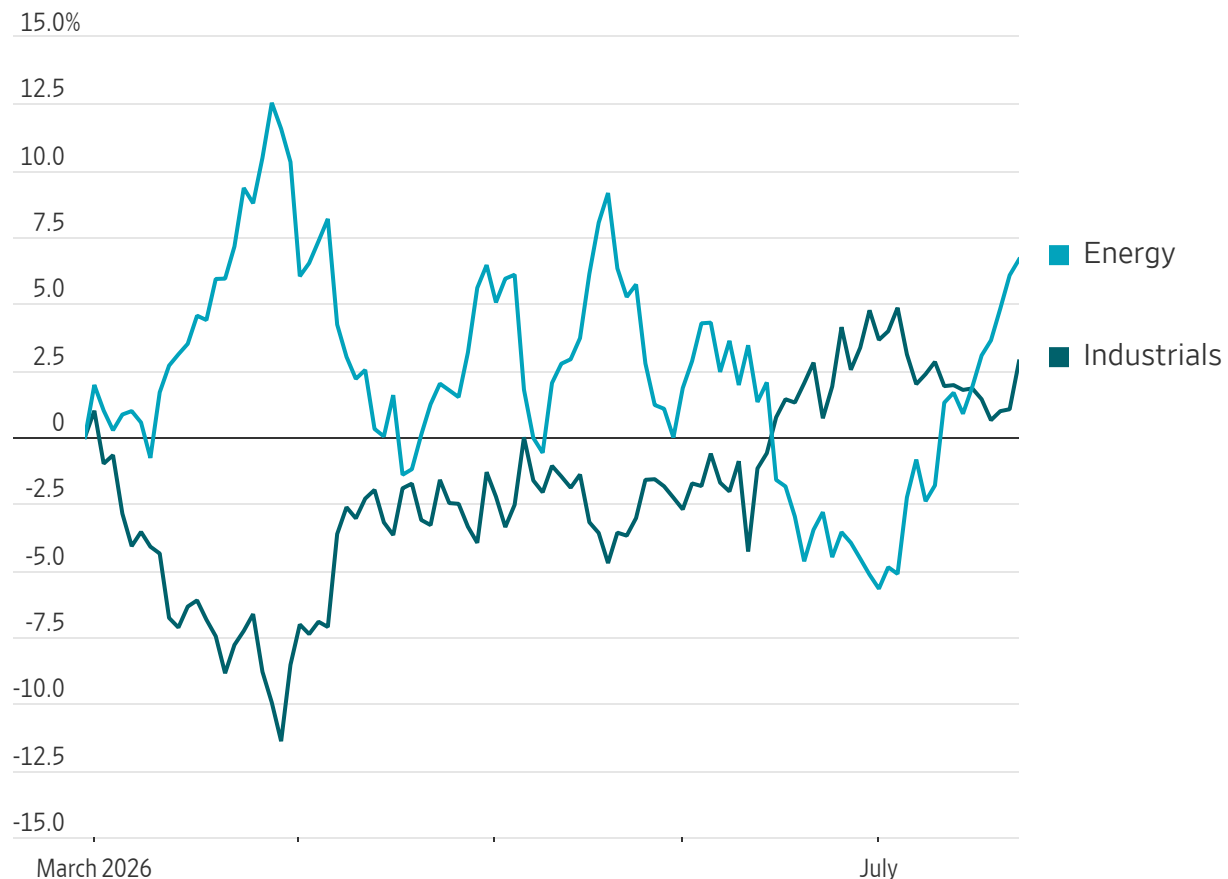
Source: FactSet

Airlines have passed along much of their added jet fuel costs by raising fares. Passengers so far have been willing to pay more, but that is only offsetting about half of the increase in carriers’ fuel bills, executives have said.

The changing tides of the war are whipsawing entire market sectors. Energy stocks in the S&P 500 have swung between large gains and losses since fighting began, closely tracking oil prices.

The energy-hungry industrial sector has mostly moved in the opposite direction, though a sharp climb in defense-contractor stocks sent it surging Thursday.

S&P 500 sector performance



Source: FactSet

And moves in the bond market show investors expect oil's surge to drive interest rates higher.

Investors bet on inflation by buying and selling ordinary U.S. Treasuries and those that hedge the risk of inflation, known as Treasury inflation-protected securities, or TIPS. The gap between the yields of the two types of bonds—known as the break-even rate—has been relatively steady, suggesting that

Still, yields on both types of Treasurys have been rising sharply together, with the 10-year TIPS yield hitting its highest level since 2023, according to Tradeweb. The yield on the benchmark 10-year U.S. Treasury note on Thursday topped 4.7%, the highest closing level since January 2025—before Trump’s return to the White House.

The chart displays two data series: TIPS (dark teal line) and Break-even (grey line). The Y-axis represents the rate percentage, ranging from 1.5% to 2.7% in 0.1% increments. The X-axis shows time from early 2025 to late 2026. The TIPS line starts at approximately 2.2%, drops to a low of about 1.65% in mid-2025, and then rises to approximately 2.4% by late 2026. The Break-even line starts at approximately 2.3%, peaks at about 2.45% in early 2025, and ends at approximately 2.3% in late 2026.

The moves show investors are concerned that the Federal Reserve will need to raise rates—and keep them higher for longer—to ensure that inflation remains in check.

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